Business - Graduate Level Assessment 4 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. James took a loan of \$240 for 30 days at 6% interest. How much interest did he have to pay?
   (a) \$0.36
   (b) \$14.40
   (c) \$3.60
   (d) \$2.40
   (e) \$7.20

2. In an organization, the group of people tasked with buying decisions is referred to as the ______________________.
   (a) Procurement centre.
   (b) Chief executive unit.
   (c) Resources allocation group.
   (d) Marketing department.
   (e) Purchasing department.

3. An imbalance between a consumer's actual and desired state in which recognition that a gap or problem needs resolving is called:
   (a) A self-concept.
   (b) Lifestyle discrepancy.
   (c) Motive development.
   (d) Perception adjustment.
   (e) Product evaluation.

4. What is the effective yield of a \$1,000 bond, maturing in one year, and purchased for \$960, if it earns a nominal annual interest rate of 6% ? Give answer to nearest (1 / 10)% .
   (a) 9.6%
   (b) 5.0%
   (c) 11.7%
   (d) 8.0%
   (e) 7.5%

5. Charles will pay Bernice \$800 five years from now if she lends him \$500 now. What is the rate of return on the \$500 loan?
   (a) 13.86%
   (b) 5.86%
   (c) 11.86%
   (d) 10.86%
   (e) 12.86%

True / False (10 marks)

Answer True or False

6. True or False: Mr. Williams pays \$220.00 in property taxes on his property assessed at \$7,800 w
7. True or False: The one-year forward rate one year from today, based on the spot rates, is 0.0600
8. True or False: The proceeds from discounting a 90-day draft for \$850 at 5% with a collection fee
9. True or False: James Milford purchased 370 kilos of tea at a price of \$0.98 per kilogram, totaling
10. True or False: The present value of a \$4,000 loan repayable in three years at a monthly interest r

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Calculate the net cost of a \$120 television set after applying sequential discounts of 30% and 20%. Discuss the impact of discounting strategies on consumer purchasing behavior.
12. Discuss the factors that determine the monthly retirement benefits for John and his wife, considering their ages and average yearly earnings. How would you calculate their monthly income?

End of Paper